

2017-2018 – DEEQA – TSE – Advanced Macroeconomics

Assignment 3

Franck Portier
f.portier@ucl.ac.uk

Version 1.0
22/11/2017

Assignment 3

- ▶ Solve the RBC with variable labor, that is, use the program you wrote in assignment 2 to solve Linear Expectational Dynamic Equations to explore the RBC model
- ▶ In particular, in the exercise you can set $U(c) = \log(C) + (1 - l_t)^{1 + \gamma}$, $\delta = .1$, $F()$ Cobb-Douglas with $s = .3$, $\rho = .9$ and explore the properties of the model for different values of γ , the inter-temporal elasticity of substitution in labour.